cheaper or even free. Most states also keep electricity rates around the average cost of power generation or lower for residential customers. Industry has borne the brunt.

State DISCOMs do not want to let their ‘creamy’ customers go. So they have designed and implemented several policies to retain them—by force.

One such policy is the levy of a cross-subsidy charge on industries and businesses for the power they buy from private-sector producers or other cheaper sources. Most state DISCOMs levy a heavy surcharge ranging from Rs 1 to Rs 3 per unit of power purchased using open access. Rajasthan levies Rs 2.63 per unit on industrial consumers of 132 KV and above. The objective is clear. DISCOMs want to make the net cost of such electricity for the industrial entity as close to, if not higher than their own rates, thus making industrial entities ‘captive’ to them.

Many industry and business enterprises, especially MSMEs, do not have the scale to justify investing in a captive power plant. Consequently, all these entities—and there are millions of them—are not able to escape the clutches of DISCOMs.

There is another policy measure that makes the lives of industrial units establishing captive power plants difficult. The effective cost of captive power plants goes up if capacity utilization falls for any reason. Therefore, these units wish to sell their surplus power to other industrial consumers. However, they are not allowed to sell to anyone other than the state DISCOMs. Thus, DISCOMs become monopoly power purchasers for the surplus power of these units and offer them a pittance.

Despite all these constraints and extortionary policies, DISCOMs are finding it increasingly difficult to retain industrial customers and sell to them full quota of their electricity demand.